

Emerging Business Opportunities for Indian MSMEs in Electronic System Design and Manufacturing Sector

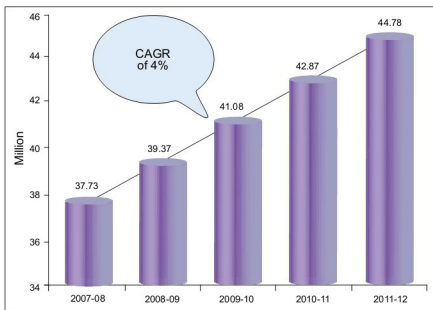
The micro, small and medium enterprises (MSMEs) play a crucial role in the economic growth of a nation due to their contribution to production, exports and employment. An impetus to the MSME sector would create a multiplier effect on the country's overall economic growth

CONFEDERATION OF INDIAN INDUSTRY

According to rough estimates, about 95 per cent of the global enterprises are SMEs. There are around 45 million MSMEs in India and they contribute about 45 per cent to the manufacturing output and 40 per cent to exports.

More than 66 per cent of the MSME enterprises are situated in six major states of India—Tamil Nadu, Gujarat, Uttar Pradesh, Kerala, Karnataka and Madhya Pradesh. The sector has gained dominance due to rising initiatives from the government, corporate houses and public sector banks. Further, policy reforms, large investment programmes and India's general economic growth have generated several latent business opportunities for this sector. Even though the MSME sector continues to go from strength to strength in India, it is beset with certain fundamental weaknesses and systemic problems that require policy reforms and massive resource allocation.

According to the MSME Ministry, the sector employs more than 101 million people and produces more than 6000 products, ranging from traditional to high-tech items. It has proved to be a major supplier of goods for mass consumption as well as a key producer of high-end products in the electronic and electrical equipment and the drugs and pharmaceuticals segments.



Growth of MSMS units in India (FY2008-2012) (Source: Ministry of MSMS, government of India)

Electronic system design and manufacturing sector

Only a few economies have exhibited the strength to weather the harsh conditions prevailing in the global environment. Such economies are especially remarkable since they are vulnerable to headwinds given the significant size of their GDP. India, despite its temporary slowdown in the last year, has not only withstood the adverse environment, but has also been witnessing green shoots of recovery. The electronics systems design and manufacturing (ESDM) sector ranks high among the various segments that have contributed to creating this bulwark. The

ESDM industry in India has continued to chart its journey northward. While the industry may not have achieved the exponential growth forecast by experts, its performance in the last few years can be termed an achievement in view of the overall slowdown of the Indian economy.

Over the last couple of decades, India has been the epicentre of consumer demand fuelled by a phenomenal GDP growth. While demand increased across all sectors, the demand for high-technology products, specifically electronic products, has registered significant growth and, going by current estimates, the demand for electronics